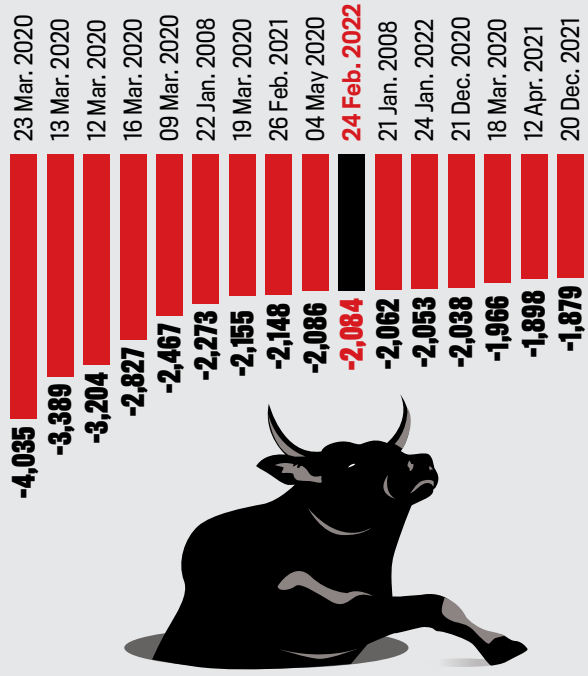
THE GREAT FALL

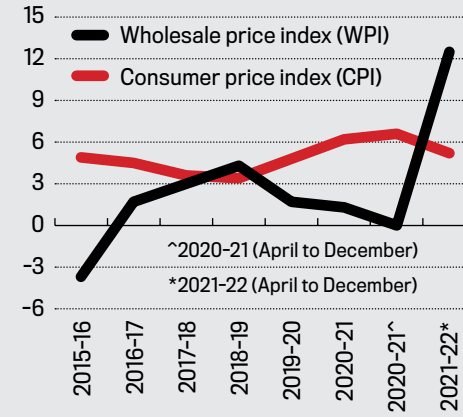
The 2,084 point crash on February 24 was the Sensex's 10th largest single-day fall



BURNING PRICES

While retail inflation (CPI) rose to 6 per cent in January, WPI has been over 10 per cent for 10 months in a row on higher food and fuel prices





(Source: MoneyControl.com; Economic Survey)

Crude oil: Oil prices had already begun climbing this year as the Omicron threat receded and global economic activity ramped up, and have spiked alarmingly since the crisis. This is bad news for India, which imports 80 per cent of its needs. In the first 10 months of this fiscal year (Apr. 2021-Jan. 2022), India imported 175.9 million tonnes of crude worth $94.3 billion (Rs 7.1 lakh crore), including $2 billion (Rs 15,200 crore) worth from Russia. If domestic fuel prices seem stable, it is because of the ongoing assembly elections in five states. When these end, the Centre will have to decide whether to pass on the higher cost to consumers or continue to absorb the financial hit to curb inflation.

The crisis will also throw out of kilter the macroeconomic assumptions on which projections in Budget 2022 and the Economic Survey are based. For one, crude oil prices were expected to remain around $70-75 (Rs 5,300-5,700) a barrel. This will affect the survey's GDP growth projection of 8-8.5 per cent for FY23, higher than the Reserve Bank of India's (RBI's) forecast of 7.3 per cent but below the International Monetary Fund's 9 per cent. "The government's fiscal math is under pressure," says D.K. Joshi, the chief economist at Crisil. The elevated oil prices will also raise India's current account deficit (CAD, the difference between the value of total imports and exports). According to a 2019 RBI study, a $10 per barrel increase in crude prices leads to an additional deficit of $12.5 billion (Rs 94,750 crore). In the September quarter, India's CAD was $9.6 billion (Rs 72,800 crore), 1.3 per cent of GDP.

There is some hope, though. For one, since the Centre maintained high fuel excise duties while prices were low, it may have a buffer to fall back on. "It should use that money now, so that it doesn't pass the entire increase in oil price on to consumers," says Joshi. "My sense is some part will be borne by the government and the rest will be passed on." Secondly, as Indranil Sengupta, economist and head of research at capital market firm CLSA, explains, India's strong forex position means it is insulated in the short term. He says that even if oil were to touch $150 a barrel for two months (an outflow of $10 billion), and there is an outflow of $20 billion from FPIs, the RBI will be able to manage the impact. The RBI currently has over twice the $316 billion (Rs 24 lakh crore) of reserves it had in 2014. "India is in a very different position compared to earlier oil shocks in 1972, 1979 and 1990," he says, adding that oil at $150 for two months would push India's CAD to 2.3 per cent. "We can sustain 2-2.5 per cent," he says.

Inflation: High fuel prices inevitably drive inflation. This comes at a time when countries are already battling inflationary trends, a result of the trillions of dollars central banks pumped into their economies to tide over the pandemic. According to the RBI, a $10 per barrel increase in oil prices has about a 24 basis point direct impact and 26 basis point indirect impact on retail inflation (or consumer price inflation, CPI). In January, India's retail inflation was at a seven-month high—6.01 per cent—above the RBI's target inflation ceiling. High inflation in food prices, which jumped to a 14-month high of 5.43 per cent, was a key reason.